

Julius Bär

# WEEKLY ADVISORY CALL

*For Intermediaries domiciled and located in Switzerland and Monaco only. Swiss registered funds for retail clients only.*

Audrey Ledermann, CFA

13 April 2026



# ECONOMY

# TACO or WACO?

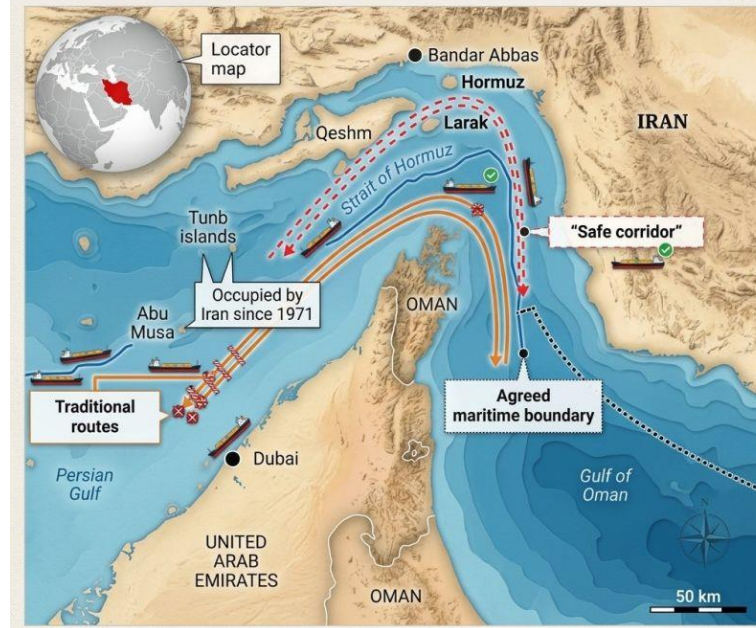


So many ultimatums... can we talk about multimatums ??

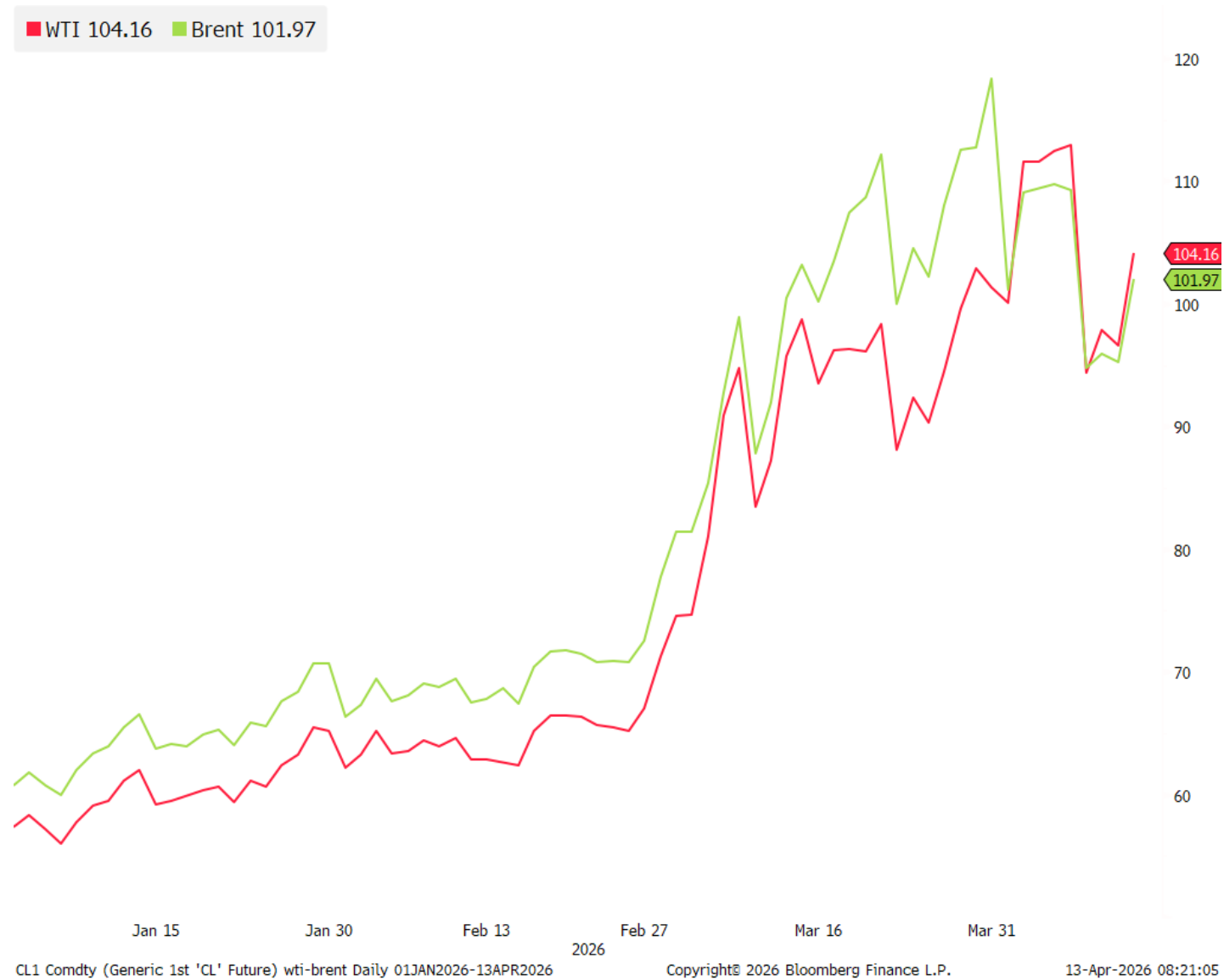


## Blockade of the Strait of Hormuz: Iran is selectively allowing ships to pass

Only selected ships are permitted to use the Iran-controlled 'safe corridor' between the islands of Larak and Hormuz



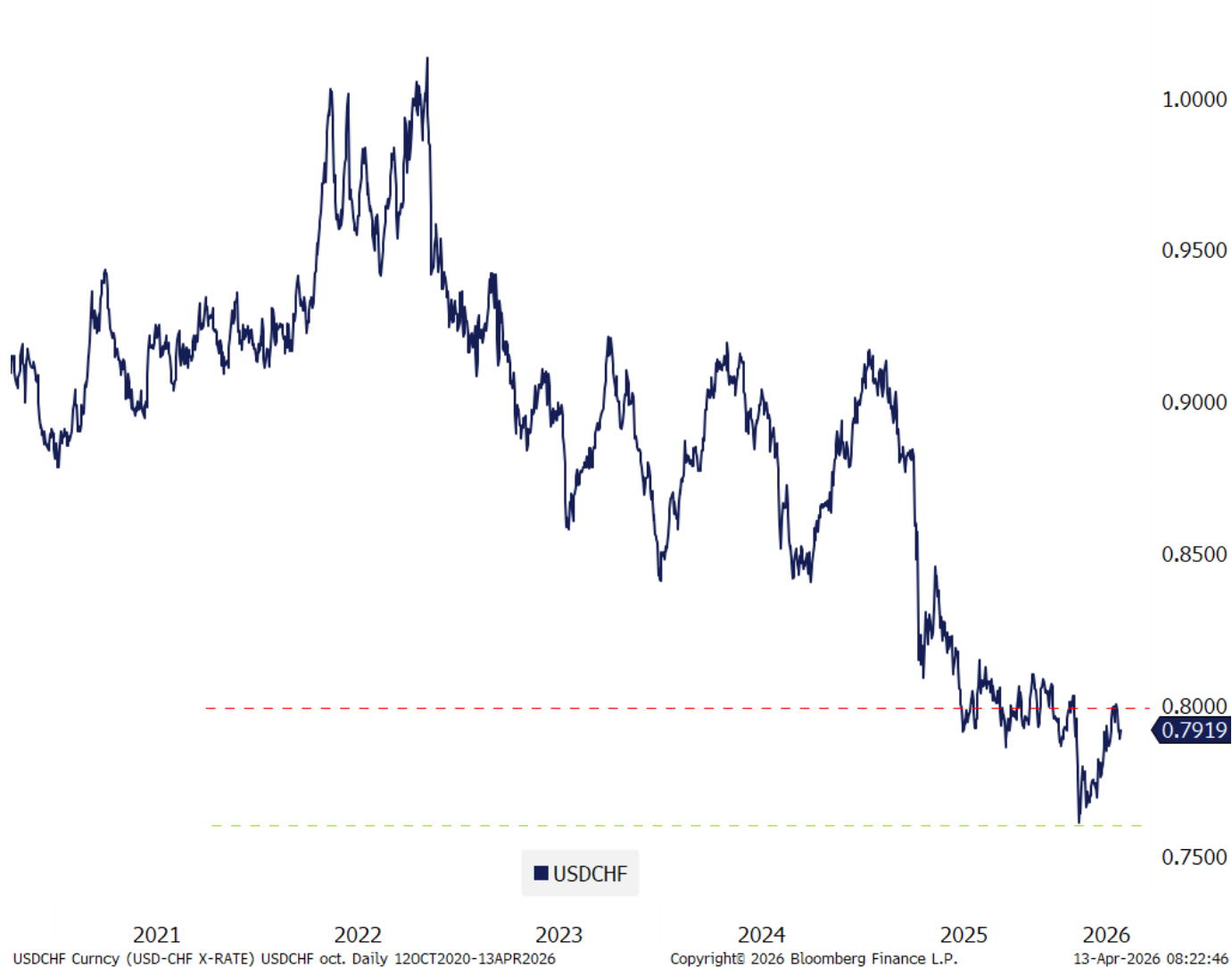
# Oil market



# EURUSD sideways move



# USDCHE didn't manage to break 0.80



# Gold rebound





# US markets

## S&P 500, daily



- If the rise continues, the index will soon face a strong resistance zone at 7000.
- The red line is the first support, there is a big gap at 6618, there is the risk it could be filled eventually.

# European markets

## Euro Stoxx 50, daily



- The index has almost closed a previous gap at 5972 (will act as a resistance now).
- Before testing the previous high, the index will have to clear a gap zone (6087/6113).
- The momentum indicator seems to be stalling at 60 (typical resistance zone in an uptrend).

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# European markets

## SMI, daily



- The index is also stalling at the short-term moving average (red line) while the indicator has stopped at 60 (resistance level in an uptrend).
- Before testing the previous high, it will have to clear two gap zones (the first one is shown on the chart).

# Asian markets

## Nikkei 225, weekly



- The previous resistance/support lines (dashed lines) show the importance of such level with the Nikkei 225.
- It recently cleared one at 52410 close to the long-term moving average (yellow line, 51700 currently).
- A breakdown below this zone would be very negative. The daily chart indicates 54000 as the short-term level to monitor.



# CIO Weekly – 01 April

## US exceptionalism is not coming back

### An eventful quarter comes to a close

Asset class performance in the first quarter of 2026 can be divided into two phases: before and after the onset of the Iran war.

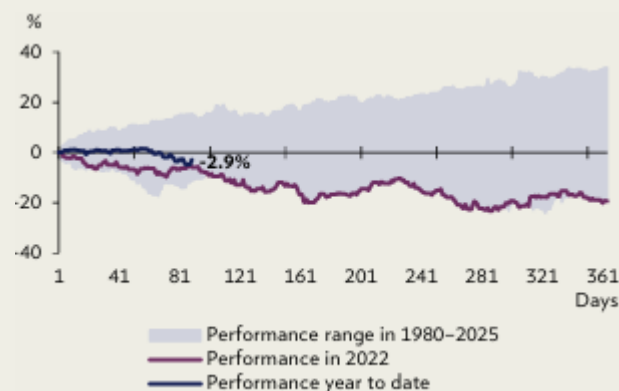
Major relative trends that had been playing out prior to the war have either reversed or paused – including US asset underperformance and the rise of gold.

Overall, except for oil and the USD, nearly all major asset classes are negative year to date in USD terms. Safe-haven assets have failed to cushion the blow. The rise in government bond yields has brought multi-asset portfolios to year-to-date levels last seen in 2022. The silver lining is that yields have come a long way since their near historic lows at the beginning of that year. The primary concern on investors' minds is that prolonged energy trade disruptions could potentially trigger a global recession.

### AI disruption poses the longer-term risk to portfolios

The artificial intelligence (AI) capital expenditure (capex) cycle has been the primary driver of US equity performance in the last several years and represents a key vulnerability for the US economy. Any adverse development that could make one of the technology giants blink is a potential trigger for a strong derating of US assets and would pose a significant risk to economic growth, amplified by the wealth effect. Beyond the recession risk, the greatest challenge for investors' portfolios stems from the AI disruption of intangible-based business models that have led asset performance in the past 15 years. **Short of having a crystal ball, investors' best defense is a well-diversified asset allocation, along with a robust portfolio construction.** Even though European and emerging markets are the ones bearing the short-term brunt of rising energy prices, we do not expect a sustainable return to the era of US asset dominance that prevailed until the end of 2024.

Chart of the week: The year-to-date performance of the US 60/40 portfolio is comparable to 2022 levels.

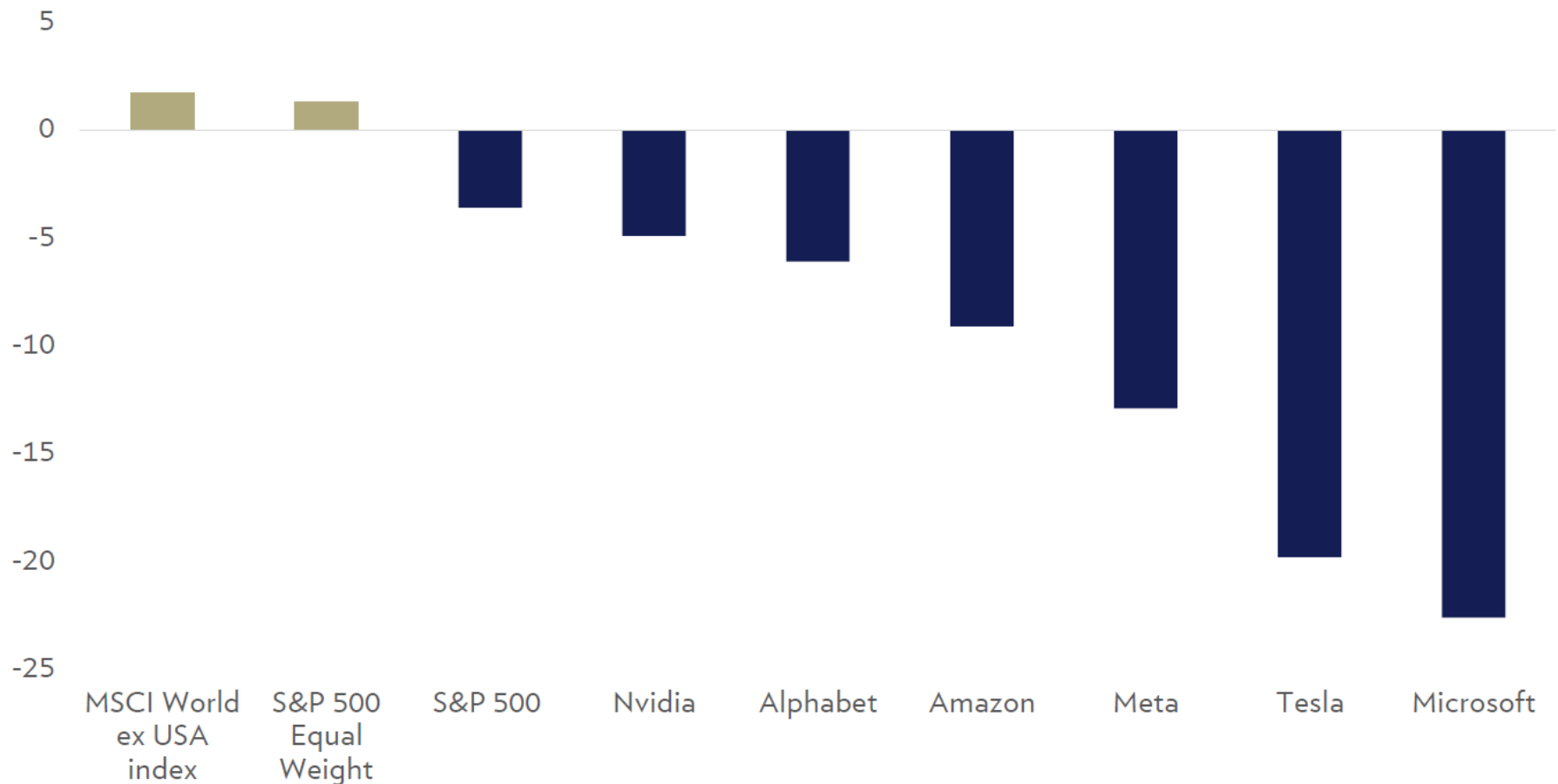


Source: Macrobond, Julius Baer Note: Data as at 31.03.2026. US 60/40 portfolio = a portfolio comprising 60% S&P 500 stocks and 40% 10-year US Treasury bonds. The shaded area marks the performance range of the US 60/40 portfolio since 1980. Past performance and performance forecasts are not reliable indicators of future results. The return may increase or decrease as a result of currency fluctuations.



# Total Return Year-to-Date

All 7 of the “Magnificent 7” stocks have declined so far this year. The biggest losers are Tesla and Microsoft. Tesla is down 20% on a large inventory build-up and competition in China. Microsoft is down 23% as investors worry about its USD146 billion spend on AI infrastructure this fiscal year, and worry that AI agents could replace its software.



# S&P TECHNOLOGY / S&P 500 INDEX FORWARD P/E RATIO

|                | Name              | BBG Est<br>P/E (x) |
|----------------|-------------------|--------------------|
| Buy TP USD 280 | AMAZON.COM INC    | 19.60              |
| Buy TP USD 350 | ALPHABET INC-CL A | 21.19              |
| Buy TP USD 550 | MICROSOFT CORP    | 19.58              |
| Buy TP USD 200 | ORACLE CORP       | 17.99              |
|                | S&P 500 INDEX     | 17.61              |

**Chart 5: Tech cheapest vs. S&P 500 since 2018**

S&P 500 tech vs S&P 500 - relative forward P/E



Source: BofA Global Investment Strategy, Bloomberg

BofA GLOBAL RESEARCH

**Difference Between Median Target Price & Closing Price: Top 10 (Source: FactSet)**

| Company                                | Target  | Closing | Diff (\$) | Diff (%) |
|----------------------------------------|---------|---------|-----------|----------|
| Fair Isaac Corporation                 | 1975.00 | 1039.84 | 935.16    | 89.9%    |
| DoorDash, Inc. Class A                 | 267.50  | 151.96  | 115.54    | 76.0%    |
| ServiceNow, Inc.                       | 180.00  | 103.64  | 76.36     | 73.7%    |
| Robinhood Markets, Inc. Class A        | 120.00  | 70.35   | 49.65     | 70.6%    |
| Gen Digital Inc.                       | 32.00   | 18.97   | 13.03     | 68.7%    |
| Zebra Technologies Corporation Class A | 340.00  | 204.42  | 135.58    | 66.3%    |
| AppLovin Corp. Class A                 | 650.00  | 391.21  | 258.79    | 66.2%    |
| Insulet Corporation                    | 360.00  | 218.11  | 141.89    | 65.1%    |
| Microsoft Corporation                  | 600.00  | 365.97  | 234.03    | 63.9%    |
| Axon Enterprise Inc                    | 735.00  | 450.46  | 284.54    | 63.2%    |

**Difference Between Median Target Price & Closing Price: Bottom 10 (Source: FactSet)**

| Company                          | Target | Closing | Diff (\$) | Diff (%) |
|----------------------------------|--------|---------|-----------|----------|
| Moderna, Inc.                    | 40.00  | 53.57   | -13.57    | -25.3%   |
| CF Industries Holdings, Inc.     | 103.00 | 132.56  | -29.56    | -22.3%   |
| APA Corporation                  | 35.00  | 42.80   | -7.80     | -18.2%   |
| Marathon Petroleum Corporation   | 217.00 | 248.31  | -31.31    | -12.6%   |
| LyondellBasell Industries NV     | 69.00  | 77.72   | -8.72     | -11.2%   |
| Valero Energy Corporation        | 222.00 | 248.14  | -26.14    | -10.5%   |
| Ciena Corporation                | 347.50 | 387.99  | -40.49    | -10.4%   |
| Archer-Daniels-Midland Company   | 65.00  | 72.33   | -7.33     | -10.1%   |
| Phillips 66                      | 170.00 | 184.01  | -14.01    | -7.6%    |
| Occidental Petroleum Corporation | 60.00  | 64.36   | -4.36     | -6.8%    |

*Source: FactSet*

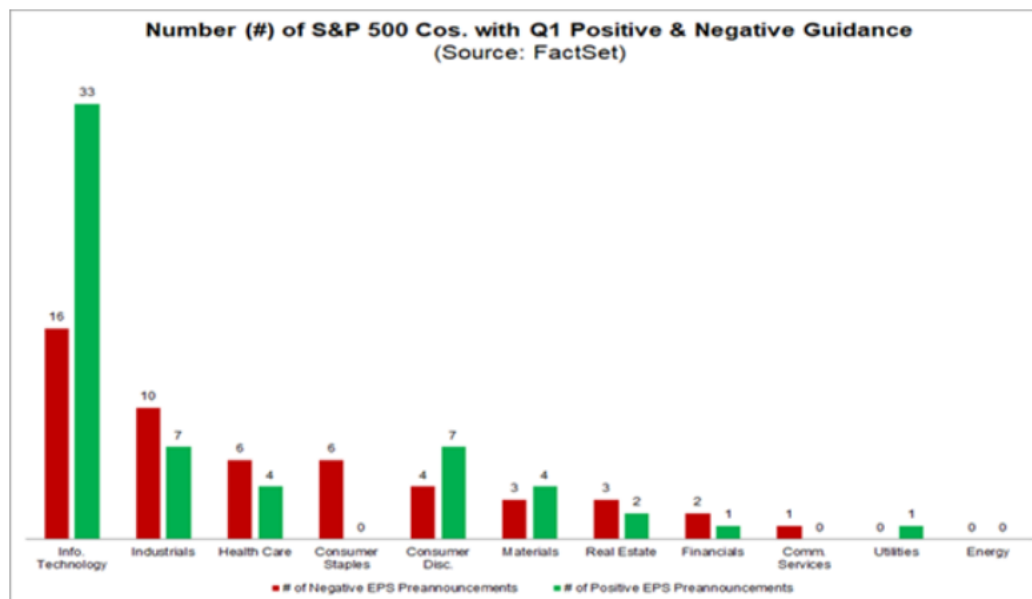
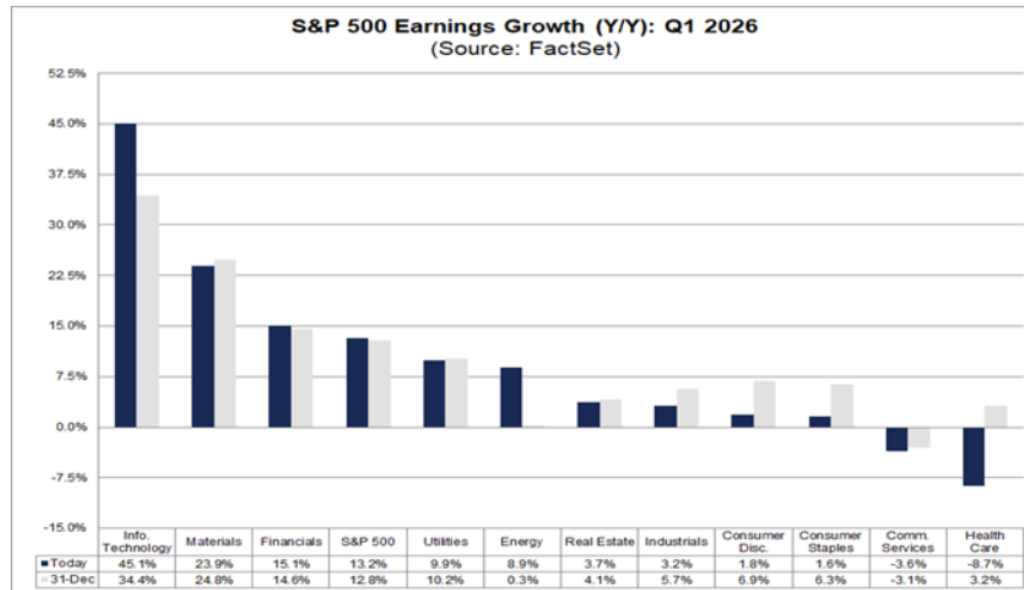
# Earning season : optimistic analysts

- On a dollar-level basis, total estimated earnings for the first quarter have increased by 0.4% (to \$629.3 billion from \$627.0 billion)
- 110 companies in the index have issued EPS guidance for Q1 2026. Of these companies, 59 have issued positive EPS guidance and 51 have issued negative EPS guidance.
- S&P 500 is expected to report (YoY) **earnings growth of 12.6%**, compared to the estimated of 12.8% on December 31.
- S&P 500 is expected to report (YoY) **revenue growth of 9.8%**, compared to the expectations of 8.2% on December 31.
- The forward 12-month P/E ratio is **20.4**

| Monday<br>13 April | Tuesday<br>14 April                                                                                                                                                                                    | Wednesday<br>15 April                                                                                                                                                      | Thursday<br>16 April                                                                                                                                                                                                                | Friday<br>17 April  |
|--------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|
| LVMH (S, Aft-mkt)  | Blackrock (E, Bef-mkt)<br>Citigroup (E, 14:00)<br>Givaudan (S, 07:00)<br>Johnson & Johnson (E, 12:45)<br>JPMorgan Chase (E, 12:45)<br>Kering (S, n.a.)<br>Sika (S, Bef-mkt)<br>TotalEnergies (S, n.a.) | ASML (E, 07:00)<br>Bank of America (E, 12:45)<br>Contemporary Amperex (E, n.a.)<br>Helvetia Baloise Holding AG (E, 07:00)<br>Hermès (S, 08:00)<br>Progressive (E, Bef-mkt) | Abbott Laboratories (E, Bef-mkt)<br>Barry Callebaut (E, 07:00)<br>Charles Schwab (E, Bef-mkt)<br>Kweichow Moutai (E, n.a.)<br>Netflix (E, 22:01)<br>Prologis (E, Bef-mkt)<br>TSMC (E, Bef-mkt)<br>VAT (S, n.a.)<br>Vinci (S, 17:45) | Ericsson (E, 07:00) |

E = Earnings Release, S = Sales Result (or other update or announcement, i.e. trading, traffic, production, guidance etc.)

Source: FactSet



# Swiss equities are rising above the fog of war

## Why now?

- Swiss equities' recent underperformance is largely the result of temporary sector effects – particularly the absence of energy exposure and a lagging healthcare sector – rather than of any deterioration in fundamentals. For investors, this creates a favorable set-up: if growth slows or recession risks rise, Switzerland's defensive characteristics, resilient earnings, and attractive valuations position the market for outperformance. With solid fundamentals, a century-long record of strong returns, and compelling value today, the current environment offers a timely opportunity to reassess and potentially increase Swiss equity exposure.

|                       | ISIN         | Ticker   | Price<br>CHF | Price<br>target | Rating | Risk<br>rating | P/E<br>2027E | Dividend<br>yield |
|-----------------------|--------------|----------|--------------|-----------------|--------|----------------|--------------|-------------------|
| <b>Consumer</b>       |              |          |              |                 |        |                |              |                   |
| Lindt                 | CH0010570767 | LISP SW  | 11,230       | 14,500          | Buy    | Medium         | 31.6         | 1.6%              |
| Emmi                  | CH0012829898 | EMMN SW  | 849.0        | 930             | Buy    | Medium         | 17.8         | 2.2%              |
| Nestlé                | CH0038863350 | NESN SW  | 78.4         | 95              | Buy    | Low            | 16.9         | 4.0%              |
| Richemont             | CH0210483332 | CFR SW   | 138.6        | 195             | Buy    | High           | 19.8         | 2.4%              |
| <b>Financials</b>     |              |          |              |                 |        |                |              |                   |
| Partners Group        | CH0024608827 | PGHN SW  | 846          | 1,400           | Buy    | Medium         | 14.0         | 5.8%              |
| Zurich                | CH0011075394 | ZURN SW  | 561          | 660             | Buy    | Medium         | 10.9         | 7.0%              |
| <b>Real estate</b>    |              |          |              |                 |        |                |              |                   |
| PSP                   | CH0018294154 | PSPN SW  | 158.5        | 180             | Buy    | Medium         | 29.6         | 2.5%              |
| Swiss Prime           | CH0008038389 | SPSN SW  | 135.0        | 150             | Buy    | Low            | 32.8         | 2.6%              |
| <b>Healthcare</b>     |              |          |              |                 |        |                |              |                   |
| Alcon                 | CH0432492467 | ALC SW   | 59.3         | 84              | Buy    | Medium         | 15.1         | 0.6%              |
| Sandoz                | CH1243598427 | SDZ SW   | 61.7         | 84              | Buy    | High           | 13.4         | 1.8%              |
| <b>Industrials</b>    |              |          |              |                 |        |                |              |                   |
| Adecco                | CH0012138605 | ADEN SW  | 19.0         | 30              | Buy    | High           | 6.3          | 6.0%              |
| Georg Fischer         | CH1169151003 | GF SW    | 40.4         | 62              | Buy    | Medium         | 13.0         | 3.5%              |
| Stadler Rail          | CH0002178181 | SRAIL SW | 20.2         | 24              | Buy    | High           | 9.6          | 4.7%              |
| <b>Communications</b> |              |          |              |                 |        |                |              |                   |
| Sunrise Comm.         | CH1386220409 | SUNN SW  | 47.3         | 54.0            | Buy    | Low            | n.a.         | 7.3%              |
| <b>Materials</b>      |              |          |              |                 |        |                |              |                   |
| Holcim                | CH0012214059 | HOLN SW  | 64.9         | 84.0            | Buy    | Medium         | 15.7         | 2.8%              |
| Sika                  | CH0418792922 | SIKA SW  | 129.9        | 200             | Buy    | Medium         | 15.9         | 3.0%              |

Source: Bloomberg Finance L.P., Julius Baer; P/E = price/earnings ratio; E = estimated; Comm. = Communications. Data as at 31.03.2026.

**Zurich Insurance:** The most defensive and most profitable of the big 4 has lagged, and is attractive vs domestic peers (TP: CHF 660)

## Overview and why we like it?

### Shares lag peers

- YTD return -9%
- Stock 12% below April 2025 peak

### Low risk business mix

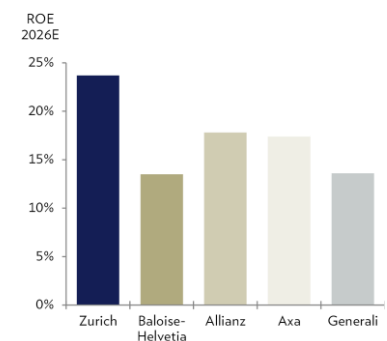
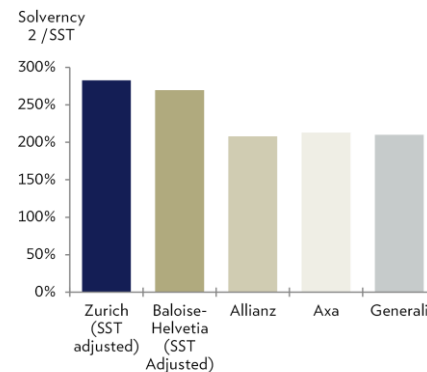
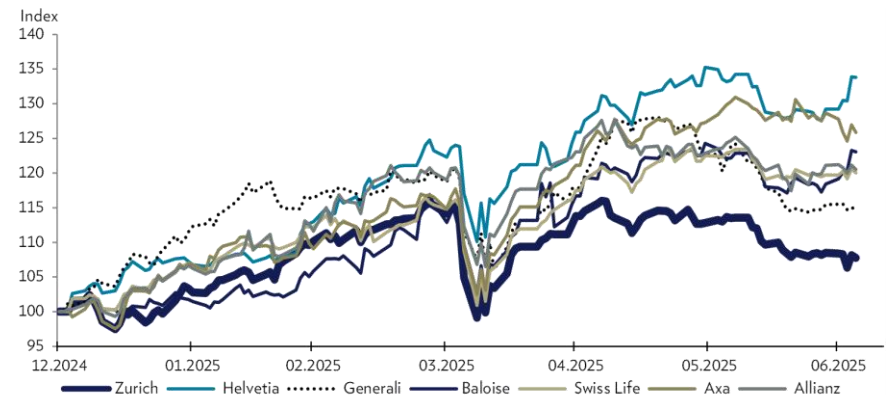
- Large share of capital light businesses:
  - 10% fee business at Farmers
  - 40% unit-linked life and protection
  - No traditional life savings
- 40% non-life balanced in consumer and commercial
- 20% specialty lines and travel
- Great regional diversification

### Strongest balance sheet

- SST of 259% => solvency 2 ca 280%+ vs 210% peers

### Strongest profitability

- Return on equity 2026E 23% vs 14%-18%



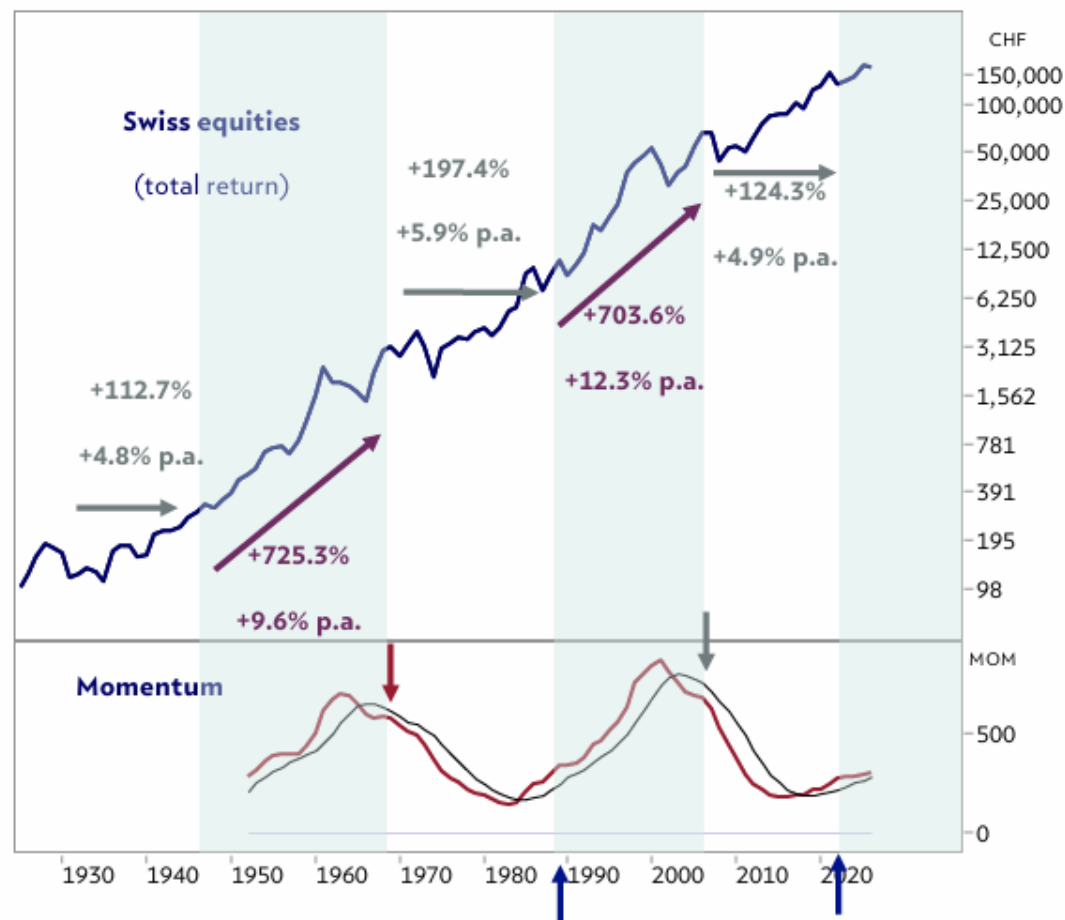


# Swiss equities

A secular bull market probably started in 2011

## Comments

- Swiss stocks have likely entered a new secular bull market by printing new all-time highs.
- This confirms the bottom in our secular momentum indicator and suggests that Swiss stocks are entering a cycle that is comparable to the periods from 1941–1964 and 1983–2001.
- As a general rule, investors should aim to be fully invested in bull markets and minimally invested in bear markets.
- Secondly, bull markets continue as long as investors are cautious, thus a bull market can climb the 'wall of worry'.



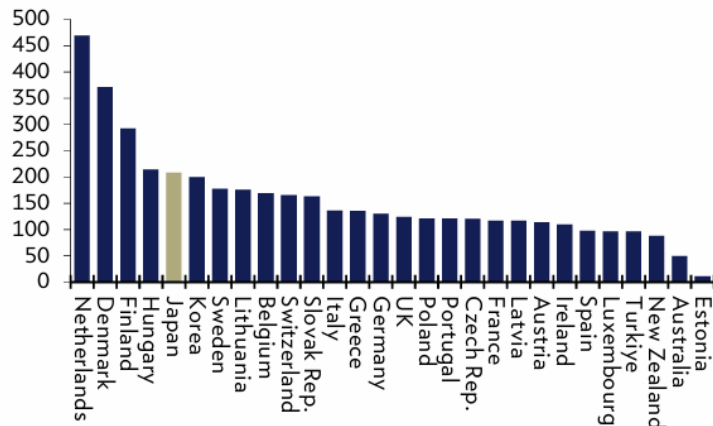
Source: Bloomberg Finance L.P., Julius Baer; p.a. = per annum

# Japan equities: quality never goes out of style

## Why now?

- Japan's pullback since the Iran conflict reflects a combination of its energy vulnerability, year-end position unwinding and momentum reversal, but an easing of geopolitical tensions could support a rebound, further reinforced by healthy earnings revisions and fiscal support cushioning the macro shock.
- We remain overweight on Japan, with robust earnings growth, improving ROE and structural reforms supporting our Nikkei 225 target of 62,000.
- We recommend that allocation in Japanese equities be directed toward defensive, high-quality companies leveraged to Japan's structural growth and transformation opportunities.

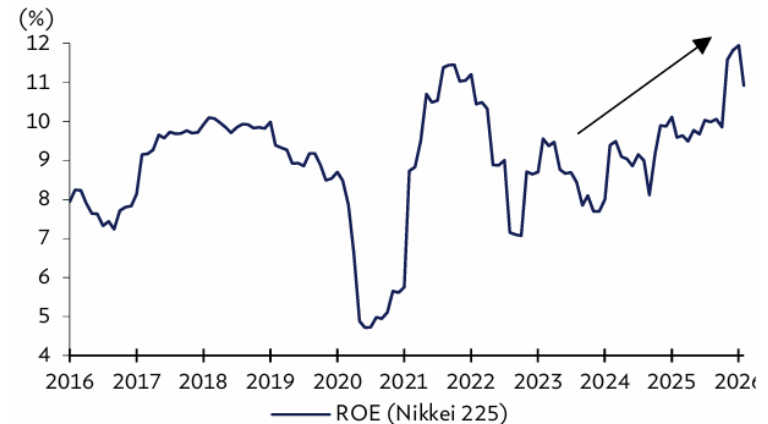
## Japan has one of the highest oil stock across IEA countries



Source: IEA, Julius Baer

Note: Japan's oil reserves cover 208 days per IEA criteria and about 250 days per Japan's standard

## ROE for the Nikkei 225 as a whole has been trending up



Source: Bloomberg, Julius Baer

Past performance and performance forecasts are not reliable indicators of future results. The return may increase or decrease as a result of currency fluctuations.

## Stocks leveraged to the economic policies of Sanae Takaichi

| Company                                                       | Ticker  | Mkt cap<br>(JPY trn) | Price<br>(JPY) | Fair<br>value/Target<br>price (JPY) | Rating | Expected<br>Return | Div Yield | P/E (x) | P/B (x) | ROE (x) |
|---------------------------------------------------------------|---------|----------------------|----------------|-------------------------------------|--------|--------------------|-----------|---------|---------|---------|
| <b>AI and Semiconductors leadership</b>                       |         |                      |                |                                     |        |                    |           |         |         |         |
| <b>Tech leaders</b>                                           |         |                      |                |                                     |        |                    |           |         |         |         |
| Advantest                                                     | 6857 JP | 15.5                 | 22,500         | 34,000                              | Buy    | 51.1%              | 0.4%      | 46.2    | 21.5    | 54.8    |
| Tokyo Electron                                                | 8035 JP | 18.0                 | 39,280         | 44,000                              | Buy    | 12.0%              | 1.6%      | 31.9    | 8.5     | 27.5    |
| Softbank Group                                                | 9984 JP | 21.1                 | 3,764          | 5,400                               | Buy    | 43.5%              | 0.3%      | 6.1     | 1.4     | 22.9    |
| <b>Physical AI</b>                                            |         |                      |                |                                     |        |                    |           |         |         |         |
| → Fanuc                                                       | 6954 JP | 5.4                  | 5,697          | 7,500                               | Buy    | 31.6%              | 1.9%      | 31.8    | 2.9     | 9.2     |
| Keyence                                                       | 6861 JP | 13.9                 | 57,990         | 80,000                              | Buy    | 38.0%              | 0.9%      | 32.6    | 4.0     | 13.1    |
| <b>National security and defense</b>                          |         |                      |                |                                     |        |                    |           |         |         |         |
| Mitsubishi Heavy Industries                                   | 7011 JP | 15.9                 | 4,590          | 6,100                               | Buy    | 32.9%              | 0.5%      | 57.0    | 6.1     | 11.4    |
| <b>Structural transformation/corporate governance reforms</b> |         |                      |                |                                     |        |                    |           |         |         |         |
| <b>Industrials</b>                                            |         |                      |                |                                     |        |                    |           |         |         |         |
| Hitachi                                                       | 6501 JP | 21.2                 | 4,732          | 6,400                               | Buy    | 35.2%              | 1.1%      | 26.4    | 3.5     | 13.5    |
| Fujitsu <sup>1</sup>                                          | 6702 JP | 5.7                  | 3,299          | 5,000                               | ★★★★★  | 51.6%              | 0.9%      | 13.5    | 2.9     | 22.7    |
| Mitsubishi Electric <sup>1</sup>                              | 6503 JP | 11.0                 | 5,337          | 5,600                               | ★★★★   | 4.9%               | 1.1%      | 30.0    | 2.6     | 9.0     |
| Nintendo                                                      | 7974 JP | 11.2                 | 9,005          | 13,500                              | Buy    | 49.9%              | 2.4%      | 24.6    | 3.5     | 14.4    |
| <b>Insurance</b>                                              |         |                      |                |                                     |        |                    |           |         |         |         |
| Tokio Marine                                                  | 8766 JP | 14.2                 | 7,490          | 6,900                               | Hold   | -7.9%              | 2.9%      | 13.9    | 2.6     | 19.7    |
| <b>Trading Houses</b>                                         |         |                      |                |                                     |        |                    |           |         |         |         |
| Itochu                                                        | 8001 JP | 16.2                 | 2,070          | 2,060                               | Hold   | -0.5%              | 2.0%      | 15.9    | 2.3     | 15.1    |
| Mitsubishi <sup>1</sup>                                       | 8058 JP | 22.0                 | 5,490          | 5,550                               | ★★★    | 1.1%               | 2.0%      | 27.9    | 2.3     | 8.0     |
| Mitsu & Co <sup>1</sup>                                       | 8031 JP | 17.9                 | 6,325          | 6,887                               | ★★★★   | 8.9%               | 1.8%      | 21.3    | 2.2     | 10.7    |
| Marubeni <sup>1</sup>                                         | 8002 JP | 9.8                  | 5,993          | 7,232                               | ★★★★   | 20.7%              | 1.8%      | 17.7    | 2.4     | 14.1    |
| Sumitomo <sup>1</sup>                                         | 8053 JP | 7.3                  | 6,182          | 7,004                               | ★★★★   | 13.3%              | 2.3%      | 12.6    | 1.6     | 12.4    |
| <b>Banks</b>                                                  |         |                      |                |                                     |        |                    |           |         |         |         |
| Sumitomo                                                      |         |                      |                |                                     |        |                    |           |         |         |         |
| Mitsui Financial Group                                        | 8316 JP | 20.5                 | 5,455          | 5,850                               | Buy    | 7.2%               | 3.0%      | 13.0    | 1.3     | 10.7    |
| Mitsubishi UFJ Financial Group                                | 8766 JP | 32.6                 | 2,808          | 2,300                               | Hold   | -18.1%             | 2.7%      | 14.1    | 1.5     | 10.8    |
| Mizuho Financial Group <sup>1</sup>                           | 8035 JP | 16.0                 | 6,609          | 7,000                               | ★★★★   | 5.9%               | 2.3%      | 13.5    | 1.4     | 10.9    |

Source: Factset, Julius Baer.

# Future at risk?

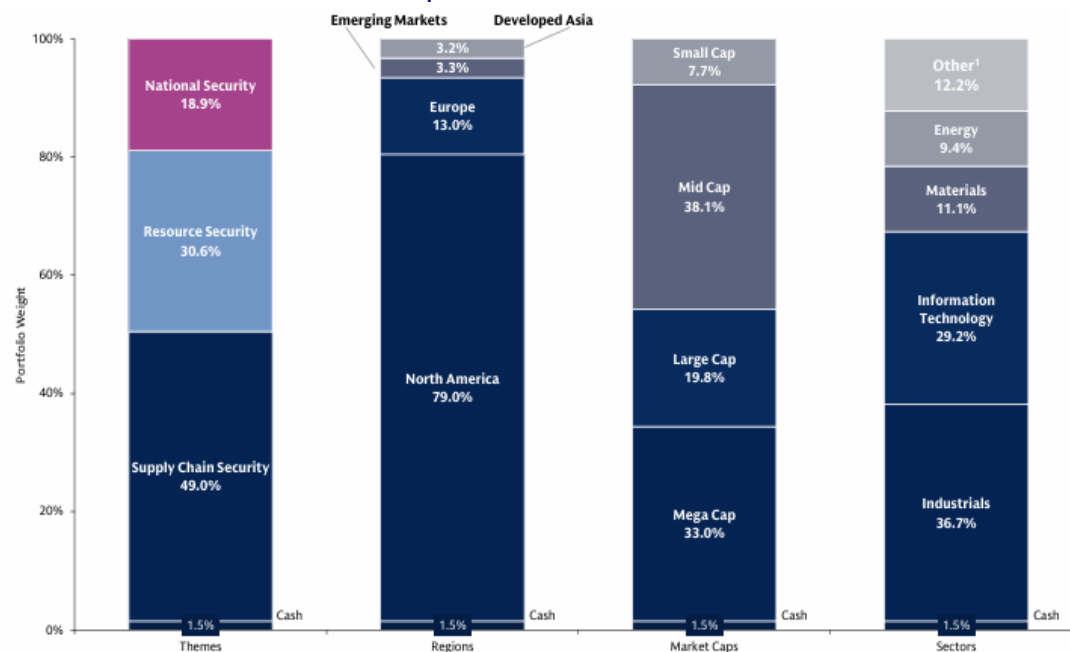
## Goldman Sachs Global Future Economic Security Equity Fund (1/2)

Fund ID FS0000IBDH

### What's the story?

- Fund launched in 2023 - managed by a trio of experienced PMs
- It targets 3 core pillars of economic security including: enhancing national security, bolstering critical supply chains and ensuring access to key resources
- This translates into a strategy that's mainly exposed to Industrials, IT, Oil & Gas and Utilities sectors

### A well-balanced diversified portfolio



Source: Julius Baer Funds.



#### Supply Chain Security

- Semi capital equipment and semi manufacturers
- Industrial equipment, components and automation
- Health care



#### Resource Security

- Energy
- Key basic materials
- Mining
- Water and food



#### National Security

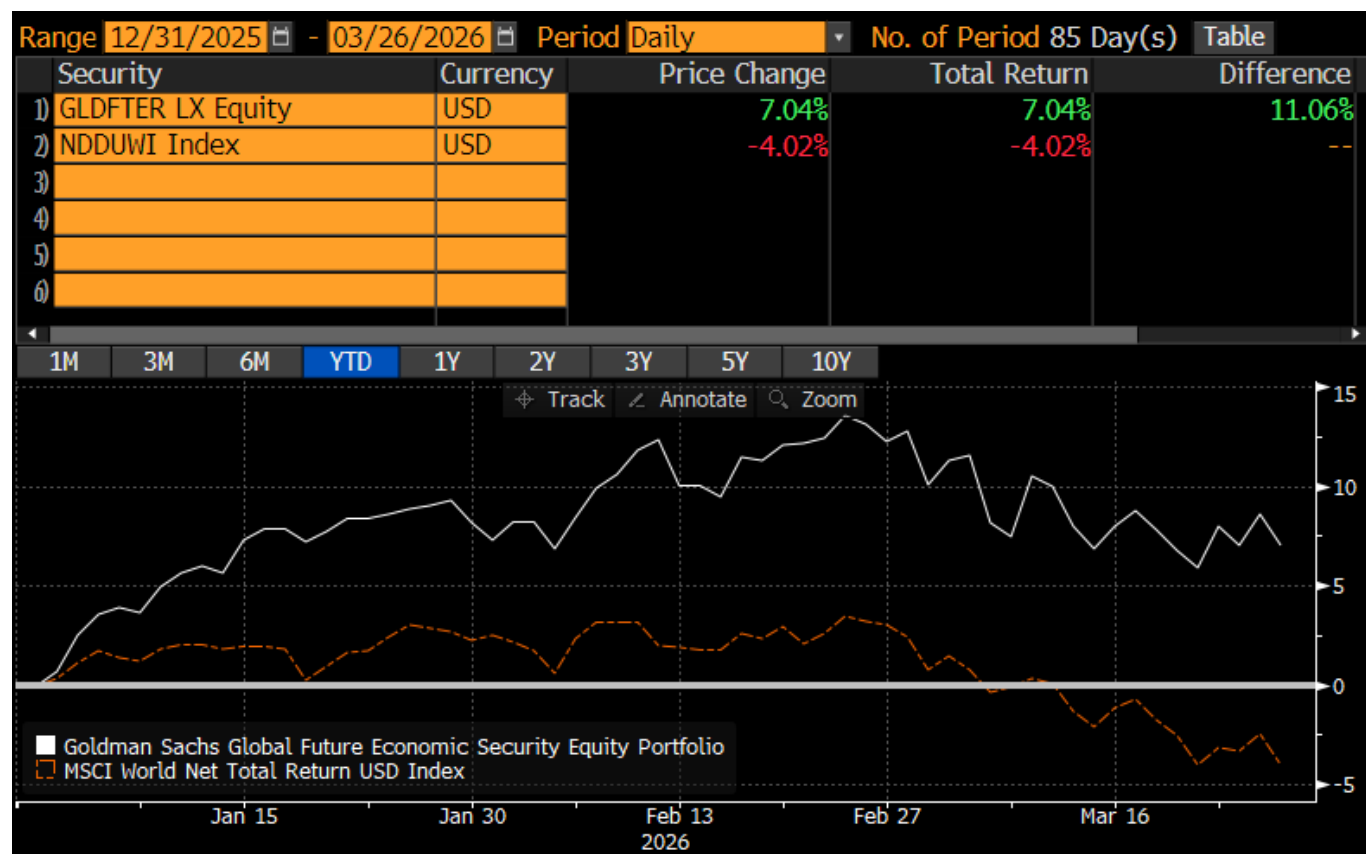
- Components
- Critical Instrumentation
- Cybersecurity
- Consulting

# Future at risk?

## Goldman Sachs Global Future Economic Security Equity Fund (2/2)

Strong YTD performance (+~7%), outpacing its MSCI World benchmark amid market volatility

YTD Returns vs Benchmark (BBG data as of 26.03.2026)



Source: Bloomberg data as of 26.03.2026. ISIN: LU2596603600 - retro-free share class – ISIN is for illustrative purposes only

# Fixed income : Where do we stand ?

## Focus on Quality and Stability

### Moderate Duration in 5-7 Year Bonds

- Preference on **BBB corporate** and **select A-rated** senior paper
- ✓ **4-5%-handle** coupon & yield, **moderate duration** & **roll-down** benefit to ensure stability

### Barbell Approach (Short HY with Long Duration Quality IG)

- Robust corporate fundamentals warrants exposure to HY but stay with front-end given tight pricing
- Slight OW duration via high IG given expectation on more stable rates market in 2026

### Yield Enhancement – EM HC & Sub-Debts

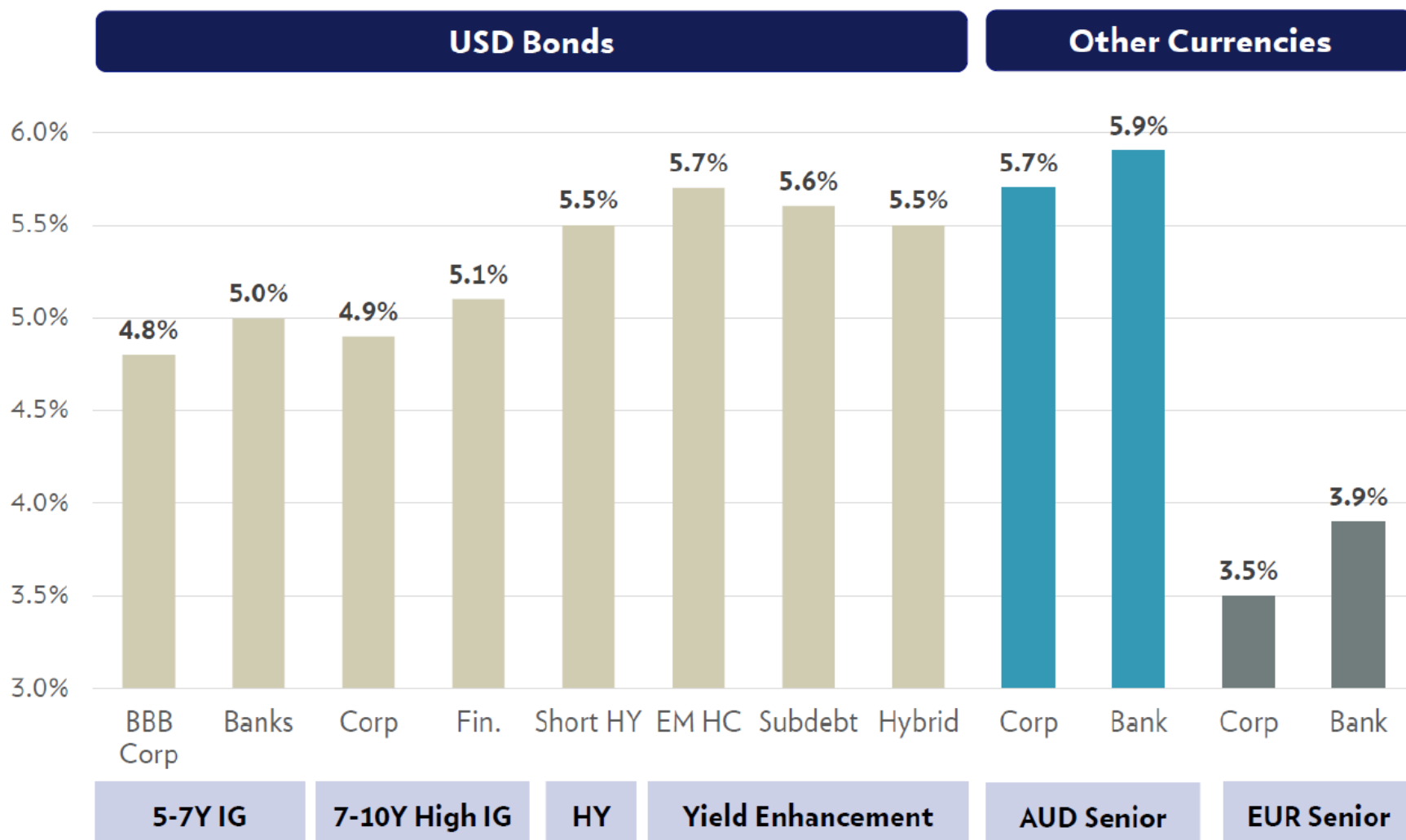
- Easing cycle with no recession, low volatility, geopolitics subside & weak USD – all supportive of EM bonds
- Earn extra yield pick-up from going down the capital structure for strong issuers via subordinated debt

### USD Diversification

- EUR bonds – 2nd largest bond market globally
- AUD bonds – highest yielding DM market with positive FX outlook

# Fixed Income Menu

## Average Yields Snapshot on Various Buckets



# AUD bond list

| ISIN         | Issuer Name              | CCY | Industry               | CPN  | Maturity  | Payment Rank    | Coupon Type | Ask Price | YTM  | S&P  | Country of Domicile | Minimum Piece |
|--------------|--------------------------|-----|------------------------|------|-----------|-----------------|-------------|-----------|------|------|---------------------|---------------|
| AU3CB0331148 | WESTPAC BANKING CORP     | AUD | Financial              | 5,14 | 12-Feb-31 | Sr Unsecured    | FIXED       | 99,14     | 5,34 | AA-  | AU                  | 10 000        |
| AU3CB0331312 | CREDIT AGRICOLE SA       | AUD | Financial              | 5,35 | 13-Feb-31 | Sr Preferred    | FIXED       | 98,81     | 5,63 | A+   | FR                  | 200 000       |
| AU3CB0325280 | HSBC HOLDINGS PLC        | AUD | Financial              | 4,77 | 28-Aug-31 | Sr Unsecured    | VARIABLE    | 96,40     | 5,69 | A-   | GB                  | 250 000       |
| AU3CB0326890 | COMMONWEALTH BANK AUST   | AUD | Financial              | 5,18 | 9-Oct-35  | Sr Unsecured    | FIXED       | 95,62     | 5,79 | N.A. | AU                  | 10 000        |
| AU3CB0316099 | BNP PARIBAS              | AUD | Financial              | 6,20 | 3-Dec-36  | Subordinated    | VARIABLE    | 98,81     | 6,42 | BBB+ | FR                  | 200 000       |
| AU3CB0311561 | AUST & NZ BANKING GROUP  | AUD | Financial              | 6,12 | 25-Jul-39 | Subordinated    | VARIABLE    | 99,34     | 6,22 | A-   | AU                  | 1 000         |
| AU3CB0331130 | WESTPAC BANKING CORP     | AUD | Financial              | 6,09 | 12-Feb-41 | Subordinated    | VARIABLE    | 98,52     | 6,14 | A-   | AU                  | 10 000        |
| AU3CB0331320 | CREDIT AGRICOLE SA       | AUD | Financial              | 6,45 | 13-Feb-41 | Subordinated    | VARIABLE    | 97,77     | 6,60 | BBB+ | FR                  | 200 000       |
| AU3CB0319424 | NESTLE CAPITAL CORP      | AUD | Consumer, Non-cyclical | 5,25 | 13-Mar-35 | Sr Unsecured    | FIXED       | 97,52     | 5,61 | AA-  | US                  | 10 000        |
| AU3CB0322410 | PROVINCE OF QUEBEC       | AUD | Government             | 5,10 | 4-Jun-35  | Sr Unsecured    | FIXED       | 96,51     | 5,59 | A+   | CA                  | 1 000         |
| AU3CB0318152 | AUSNET SERVICES HOLDINGS | AUD | Utilities              | 6,19 | 12-Feb-55 | Subordinated    | VARIABLE    | 99,26     | 6,70 | BBB- | AU                  | 10 000        |
| AU3CB0330652 | AUSNET SERVICES HOLDINGS | AUD | Utilities              | 6,50 | 4-Feb-56  | Subordinated    | VARIABLE    | 98,23     | 6,47 | BBB- | AU                  | 10 000        |
| AU3CB0332211 | VERIZON COMMUNICATIONS   | AUD | Communications         | 6,75 | 19-Sep-56 | Jr Subordinated | VARIABLE    | 99,83     | 6,71 | BBB- | US                  | 250 000       |



# ANNEXE

# Equity Top Picks

|                               |                   | North America                                                       | Europe                                                                                            | Asia                                                                |
|-------------------------------|-------------------|---------------------------------------------------------------------|---------------------------------------------------------------------------------------------------|---------------------------------------------------------------------|
| <b>Oil &amp; gas</b>          | Underweight       | ConocoPhillips                                                      | Shell                                                                                             |                                                                     |
| <b>Materials</b>              | Neutral           | Agnico Eagle Mines, CRH                                             | Anglo American                                                                                    |                                                                     |
| <b>Industrials</b>            | Neutral           | Emerson Electric, Rockwell Automation                               | Alstom, Schneider Electric, Siemens                                                               | Hesai Group, Hitachi, Mitsubishi Heavy Industries                   |
| <b>Consumer cyclical</b>      | Neutral           | Amazon.com, Chipotle Mexican Grill                                  | Continental                                                                                       | Geely, Contemporary Amperex Technology, Trip.com, Alibaba           |
| <b>Consumer defensive</b>     | Underweight       | Sprouts Farmers Market                                              | Emmi, Lindt & Sprüngli PC, L'Oréal                                                                |                                                                     |
| <b>Healthcare</b>             | Overweight        | Eli Lilly, Merck & Co., Regeneron Pharmaceuticals                   | AstraZeneca                                                                                       |                                                                     |
| <b>Financials</b>             | Overweight        | Ameriprise Financial, S&P Global, Visa, Charles Schwab, Progressive | ABN Amro, Axa, Commerzbank, Nordea, Partners Group Holding, Swedbank, Unicredit, Société Générale | ANZ Banking Group, Westpac Banking, Sumitomo Mitsui Financial Group |
| <b>Information technology</b> | Neutral           | Advanced Micro Devices, Micron Technology, Microsoft, Oracle        | Infineon, SAP                                                                                     | Advantest, TSMC                                                     |
| <b>Communications</b>         | Neutral           | American Tower, Meta Platforms, Walt Disney                         | Sunrise Communications                                                                            | Nintendo, Sony Corporation, Singtel                                 |
| <b>Utilities</b>              | Neutral           | NextEra Energy                                                      | RWE, Veolia                                                                                       |                                                                     |
| <b>Real estate</b>            | Neutral           | Prologis, Simon Property                                            |                                                                                                   | Goodman Group, CapitaLand Integrated Commercial Trust, Link REIT    |
| Changes as at 30.03.2026      | <b>Additions:</b> | <b>None</b>                                                         |                                                                                                   |                                                                     |
|                               | <b>Deletions:</b> | <b>None</b>                                                         |                                                                                                   |                                                                     |

Source: Julius Baer. Sector classification: Julius Baer Financial Instruments



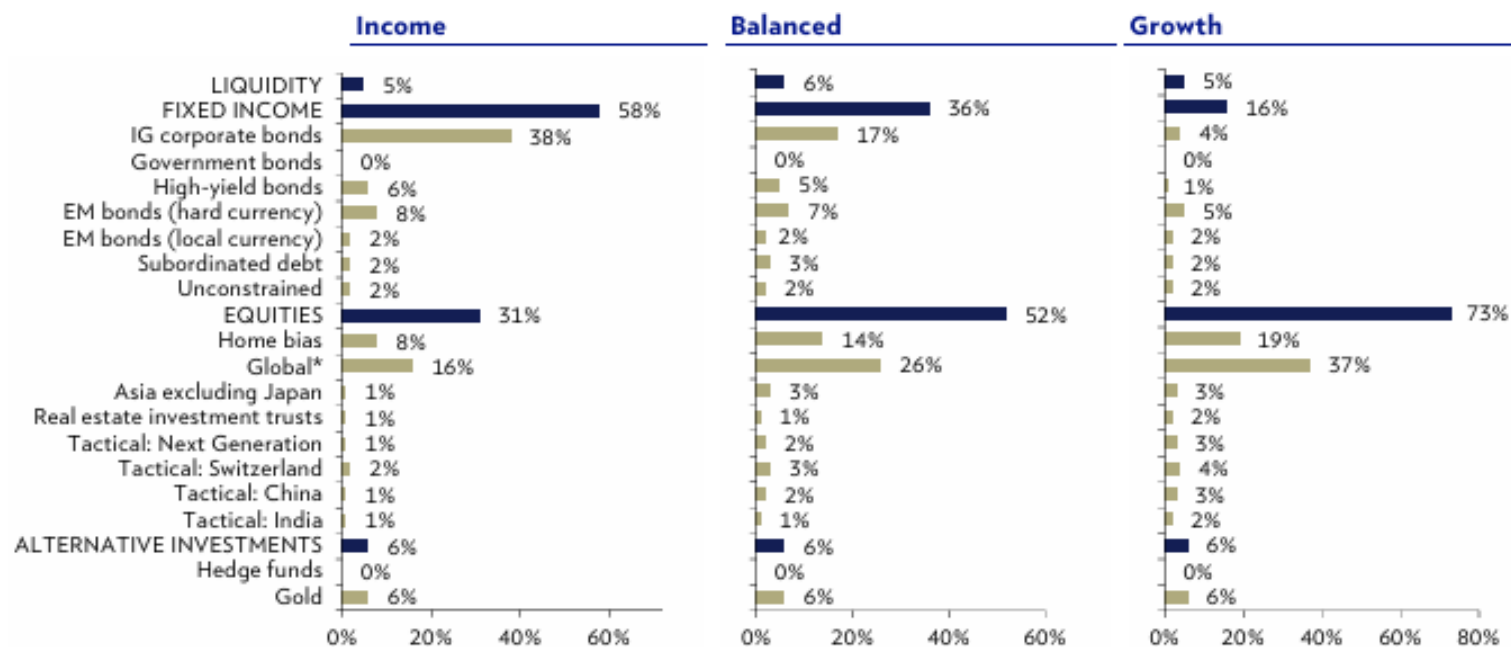
# Latest Julius Baer research rating changes

| Single Equities                          | Former Rating | New Rating      | Date       | Price target  | Reasoning                                                                                                                                                                                                                                                                                                                                             |
|------------------------------------------|---------------|-----------------|------------|---------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Asahi Group</b>                       | Buy           | Hold            | 02.04.2026 | JPY1250.00    | Still recovering from the impact of the cyberattacks<br><a href="file:///C:/Users/u1h104/AppData/Local/Temp/Edge/Asahi%20Group%20(Downgrade%20to%20Hold,%20Price_Target_%20JPY%201610.00_1750.00)-en.pdf">file:///C:/Users/u1h104/AppData/Local/Temp/Edge/Asahi%20Group%20(Downgrade%20to%20Hold,%20Price_Target_%20JPY%201610.00_1750.00)-en.pdf</a> |
| <b>Alphabet C</b>                        | Hold          | Buy             | 31.03.2026 | USD 350.00    | Upgrade to Buy                                                                                                                                                                                                                                                                                                                                        |
| <b>Alphabet A</b>                        | Hold          | Buy             | 31.03.2026 | USD 350.00    | Upgrade to Buy                                                                                                                                                                                                                                                                                                                                        |
| <b>Oriental Land</b>                     |               | Discontinuation | 31.03.2026 |               | Termination of coverage                                                                                                                                                                                                                                                                                                                               |
| <b>BP</b>                                | Buy           | Hold            | 25.03.2026 | USD 570.00    | Downgrade to Hold                                                                                                                                                                                                                                                                                                                                     |
| <b>State Bank Of India Sponsored GDR</b> | Buy           | Hold            | 18.03.2026 | USD 140.00    | Q3 FY 2026 results                                                                                                                                                                                                                                                                                                                                    |
| <b>Scentre Group</b>                     | Buy           | Hold            | 13.03.2026 | AUD4.00       | Rate hike risks; Downgrade to Hold                                                                                                                                                                                                                                                                                                                    |
| <b>Heidelberg Materials</b>              | Hold          | Buy             | 10.03.2026 | EUR 215.00    | Upgrade to Buy                                                                                                                                                                                                                                                                                                                                        |
| Fixed Income                             | Former Rating | New Rating      | Date       | Risk category | Reasoning                                                                                                                                                                                                                                                                                                                                             |
| <b>Russia</b>                            | Hold          | Discontinuation | 17.10.2025 | Speculative   | We terminate our coverage on Russia due to reshuffling of resources                                                                                                                                                                                                                                                                                   |
| <b>Ireland</b>                           | Hold          | Discontinuation | 12.09.2025 | Opportunistic | Termination of coverage due to reshuffling of resources                                                                                                                                                                                                                                                                                               |
| <b>Netherlands</b>                       | Hold          | Discontinuation | 12.09.2025 | Conservative  | Termination of coverage due to reshuffling of resources                                                                                                                                                                                                                                                                                               |

Source: Baer Insight Equity Research, Baer Insight Fixed Income Research

# Asset allocation: 01 April

## CHF-based dynamic weightings



**Source:** Julius Baer  
Data as at 31.03.2026.

Mandates – «Transaction Journals»  
also available via CIO Portal

# METHODOLOGY & FREQUENTLY USED ABBREVIATIONS

# Methodology & frequently used abbreviations

## Julius Baer Equity Research

### Frequently used abbreviations

| Abbreviation  | Description                                                    | Abbreviation | Description        | Abbreviation | Description                            |
|---------------|----------------------------------------------------------------|--------------|--------------------|--------------|----------------------------------------|
| <b>CAGR</b>   | Compound annual growth rate                                    | <b>EPS</b>   | Earnings per share | <b>P/B</b>   | Price-to-book value                    |
| <b>DCF</b>    | Discounted cash flow                                           | <b>EV</b>    | Enterprise value   | <b>P/E</b>   | Price-to-earnings ratio                |
| <b>DY</b>     | Dividend yield                                                 | <b>FCF</b>   | Free cash flow     | <b>PEG</b>   | P/E divided by year-on-year EPS growth |
| <b>EBIT</b>   | Earnings before interest and taxes                             | <b>MV</b>    | Market value       | <b>ROE</b>   | Return on equity                       |
| <b>EBITDA</b> | Earnings before interest, taxes, depreciation and amortisation |              |                    |              |                                        |

### Rating system for global equity research (stock rating)

|                    |                                                                                                                                     |
|--------------------|-------------------------------------------------------------------------------------------------------------------------------------|
| Buy/Overweight     | Expected to outperform the MSCI regional industry group by at least 5% in the coming 9–12 months, unless otherwise stated.          |
| Hold/Neutral       | Expected to perform in line ( $\pm 5\%$ ) with the MSCI regional industry group in the coming 9–12 months, unless otherwise stated. |
| Reduce/Underweight | Expected to underperform the MSCI regional industry group by at least 5% in the coming 9–12 months, unless otherwise stated.        |

### Risk rating system for global equity research

|                 |                                                                   |
|-----------------|-------------------------------------------------------------------|
| Low/medium/high | Level of expected share price volatility in the next 9-12 months. |
|-----------------|-------------------------------------------------------------------|

# Methodology & frequently used abbreviations

Julius Baer Equity Research

## Rating system for Fixed Income

|      |                                                                                                                                                                                                                                                                                                       |
|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Buy  | Within its risk category, the issuer is highly recommended due to its financial and business condition (strong balance sheet, income statement, cash flow and good position in the industry). Debt instruments of the issuer are regarded as an attractive investment from a risk/return perspective. |
| Hold | Maintain position based on stable credit fundamentals and/or average expected return characteristics within peer group.                                                                                                                                                                               |
| Sell | The rating is changed to Sell, depending on a significant deterioration in the fundamental data of the issuer in relation to the industry peers. The investment is no longer justified from a risk/return perspective for the relevant category.                                                      |

## Risk categories for Fixed Income Research

|                      |                                                                                                                                                                                                                                                  |
|----------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Conservative issuer  | Top rating preserved throughout a normal business cycle. Mainly supranational issuers, top-rated sovereigns and bodies that are directly and fully guaranteed by these institutions.                                                             |
| Quality issuer       | Top rating preserved throughout a normal business cycle. Sovereigns and corporate issuers that are very likely to service and repay debt within a five-year credit scenario.                                                                     |
| Opportunistic issuer | Attractive risk/return profile in the current credit scenario but are subject to rating downgrade risk and, thus, might be exchanged periodically. Issuers that are quite likely to service and repay debt within the five-year credit scenario. |
| Speculative issuer   | (Sub-)investment grade issuers in Europe, USA and Emerging Markets. Investors must note that these issuers are subject to a higher default frequency and that an active management of these positions is crucial.                                |

# Methodology & frequently used abbreviations

## Julius Baer Equity Research

### Frequently used abbreviations

| Abbreviation | Description                                                                                                                  | Abbreviation | Description                                                                                                      | Abbreviation | Description                        |
|--------------|------------------------------------------------------------------------------------------------------------------------------|--------------|------------------------------------------------------------------------------------------------------------------|--------------|------------------------------------|
| <b>Ccy</b>   | Currency                                                                                                                     | <b>NC</b>    | Next call date (at the discretion of the issuer)                                                                 | <b>YTC</b>   | Yield to Call; in basis points     |
| <b>Cpn</b>   | Coupon                                                                                                                       | <b>N.R.</b>  | Not rated by Julius Baer Bond Research                                                                           | <b>YTM</b>   | Yield to maturity; in basis points |
| <b>DUR</b>   | Duration in years                                                                                                            | <b>NP</b>    | Next put date (at the discretion of the holder)                                                                  | <b>YTP</b>   | Yield to Put; in basis points      |
| <b>Incr.</b> | Increment; smallest possible positive change of the nominal amount tradable (on top of the minimum nominal investment size). | <b>W-Tax</b> | Withholding Tax held back at source (best effort basis; source: Euroclear/Julius Baer host system).              | <b>YTW</b>   | Yield to worst; in basis points    |
| <b>Mdy's</b> | Moody's                                                                                                                      | <b>YAS</b>   | Yield adjusted spread; option adjusted risk premium in basis points over respective government bond yield curve. |              |                                    |



# Methodology & frequently used abbreviations

## Julius Baer Equity Research

|                      | Moody's | S&P     | Fitch / I BCA    | Credit rating definition                                                                                                                                 |
|----------------------|---------|---------|------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| Investment grade     | Aaa     | AAA     | AAA              | Obligations rated Aaa are judged to be of the higher quality, with minimal credit risk.                                                                  |
|                      | Aa1     | AA+     | AA               | Obligations rated Aa are judged to be of high quality and are subject to very low credit risk.                                                           |
|                      | Aa2     | AA      | AA-              |                                                                                                                                                          |
|                      | Aa3     | AA-     |                  |                                                                                                                                                          |
|                      | A1      | A+      | A+               | Obligations rated A are considered upper-medium grade and are subject to low credit risk.                                                                |
|                      | A2      | A       | A                |                                                                                                                                                          |
|                      | A3      | A-      | A-               |                                                                                                                                                          |
|                      | Baa1    | BBB+    | BBB+             | Obligations rated Baa are subject to moderate credit risk. They are considered medium-grade and as such may possess certain speculative characteristics. |
|                      | Baa2    | BBB     | BBB              |                                                                                                                                                          |
|                      | Baa3    | BBB-    | BBB-             |                                                                                                                                                          |
| Non-investment grade | Ba1     | BB+     | BB+              | Obligations rated Ba are judged to have speculative elements and are subject to substantial credit risk.                                                 |
|                      | Ba2     | BB      | BB               |                                                                                                                                                          |
|                      | Ba3     | BB-     | BB-              |                                                                                                                                                          |
|                      | B1      | B+      | B+               | Obligations rated B are considered speculative and are subject to high credit risk.                                                                      |
|                      | B2      | B       | B                |                                                                                                                                                          |
|                      | B3      | B-      | B-               |                                                                                                                                                          |
|                      | Caa1    | CCC+    | CCC+             | Obligations rated Caa are judged to be of poor standing and are subject to very high credit risk.                                                        |
|                      | Caa2    | CCC     | CCC              |                                                                                                                                                          |
|                      | Caa3    | CCC-    | CCC-             |                                                                                                                                                          |
|                      | Ca      | CC<br>C | CC+<br>CC<br>CC- | Obligations rated Ca are highly speculative and are likely in, or very near, default, with some prospect of recovery of principal and interest.          |
|                      | C       | D       | DDD              | Obligations rated C are the lowest rated class of bonds and are typically in default, with little prospect for recovery of principal or interest.        |

# Methodology & frequently used abbreviations

## Julius Baer Equity Research

### Rating system for commodities

|                |                                                                        |
|----------------|------------------------------------------------------------------------|
| Bullish (Buy)  | Julius Baer commodity research sees upside from current spot prices.   |
| Neutral (Hold) | Julius Baer commodity research believes prices to remain range-bound.  |
| Bearish (Sell) | Julius Baer commodity research sees downside from current spot prices. |

### CURRENCY RESEARCH

#### Frequently used abbreviations

##### Major currencies

|            |                   |            |                    |
|------------|-------------------|------------|--------------------|
| <b>AUD</b> | Australian dollar | <b>JPY</b> | Japanese yen       |
| <b>CAD</b> | Canadian dollar   | <b>NOK</b> | Norwegian krone    |
| <b>CHF</b> | Swiss franc       | <b>NZD</b> | New Zealand dollar |
| <b>EUR</b> | Euro              | <b>SEK</b> | Swedish krone      |
| <b>GBP</b> | British pound     | <b>USD</b> | US dollar          |

##### Other currencies

|            |                                 |            |                   |
|------------|---------------------------------|------------|-------------------|
| <b>BRL</b> | Brazilian real                  | <b>MXN</b> | Mexican peso      |
| <b>CNH</b> | Chinese yuan (offshore version) | <b>MYR</b> | Malaysian ringgit |
| <b>CNY</b> | Chinese yuan (onshore version)  | <b>PLN</b> | Polish zloty      |
| <b>CZK</b> | Czech koruna                    | <b>RMB</b> | Chinese renminbi  |
| <b>HUF</b> | Hungarian forint                | <b>RUB</b> | Russian ruble     |
| <b>INR</b> | Indian rupee                    | <b>TRY</b> | Turkish lira      |
| <b>KRW</b> | Korean won                      | <b>ZAR</b> | South Africa rand |

### Rating system for currencies

|          |                                                                                                                                                     |
|----------|-----------------------------------------------------------------------------------------------------------------------------------------------------|
| Positive | Significant outperformance of a currency. Return from the expected change in the bilateral exchange rate + the relative carry of the currency pair. |
| Neutral  | Marginal outperformance of a currency. Return from the expected change in the bilateral exchange rate + the relative carry of the currency pair.    |
| Negative | Based on negative expected total returns of a currency.                                                                                             |

# Methodology & frequently used abbreviations

Julius Baer Equity Research

## Frequently used abbreviations

| Abbreviation | Description     |
|--------------|-----------------|
| NAV          | Net asset value |

| Abbreviation | Description         |
|--------------|---------------------|
| TER          | Total expense ratio |

## Investment styles for funds

|                       |                                                                                                                                           |
|-----------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| Independent growth    | The product seeks to generate positive returns (Libor plus), irrespective of market movements.                                            |
| Opportunistic         | The performance of the product depends on a manager's longer term ideas that may result in shorter term underperformance.                 |
| Market exposure       | The product creates full and diversified exposure to the respective underlying market with the aim of generating relative outperformance. |
| Prudent participation | The product builds controlled exposure to the underlying investment universe and is therefore supposed to lose less in bear markets.      |

## Distribution types for funds

|              |                                                                                                                                                                     |
|--------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Accumulation | All capital income (e.g. dividends, interest income) is reinvested.                                                                                                 |
| Income       | Capital income (e.g. dividends, interest income) is distributed among investors. The amount of distributed capital income is at the discretion of the fund manager. |

# Methodology & frequently used abbreviations

## Julius Baer Equity Research

### Julius Baer risk rating for funds

The Julius Baer Product Risk Rating divides financial instruments into four risk categories taking into account different risk factors, such as volatility, credit default risk, currency risk and other risk factors, depending on the instrument type. The risk category “Low” does not mean “risk free”. The Julius Baer Product Risk Rating is not aligned with the risk classification of the product provider (e.g. the SSRI for UCITS funds). For a full discussion of the risks associated with an investment in this fund, prospective investors should carefully review the current official fund documentation, such as the Prospectus, the Offering Memorandum, Product Highlight Sheet, Key Facts Sheet and the Key Investor Information Document (KIID), as applicable.

|              |                                                                                                                                                                                                                                                   |
|--------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Low          | Funds of the category “low” tend to experience small fluctuations of the investment value under normal market conditions, resulting in a very limited potential for capital losses but also have limited potential for income and capital growth. |
| Moderate     | Funds of the category “moderate” offer a combination of modest income and growth potential but may experience short term losses and moderate fluctuations of the investment value.                                                                |
| Considerable | Funds of the category “considerable” may experience the risk of considerable fluctuation of the investment value while offering higher potential for capital growth and income.                                                                   |
| High         | Funds of the category “high” are exposed to significant risk and fluctuation including the loss of the investment value, while providing the potential to maximize long term growth opportunities.                                                |

# Methodology & frequently used abbreviations

Julius Baer Equity Research

## Frequently used abbreviations

| Abbreviation | Description                                    |
|--------------|------------------------------------------------|
| <b>ETC</b>   | Exchange Traded Commodity                      |
| <b>ETF</b>   | Exchange Traded Fund                           |
| <b>ISIN</b>  | International Securities Identification Number |

| Abbreviation | Description                   |
|--------------|-------------------------------|
| <b>KG</b>    | Kilogram                      |
| <b>mBtu</b>  | Million British Thermal Units |

| Abbreviation | Description |
|--------------|-------------|
| <b>Mln</b>   | Million     |
| <b>Oz</b>    | Ounces      |

## Frequently used abbreviations for indices

| Abbreviation   | Description                                              |
|----------------|----------------------------------------------------------|
| <b>AEX</b>     | Amsterdam Exchange Index (Dutch stock market index)      |
| <b>CAC40</b>   | Cotation Assistée en Continu (French stock market index) |
| <b>DAX</b>     | Deutscher Aktien Index (German stock market index)       |
| <b>FTSE100</b> | FTSE Group Index (London stock market index)             |

| Abbreviation  | Description                                    |
|---------------|------------------------------------------------|
| <b>HIS</b>    | Hang Seng Index (Hong Kong stock market index) |
| <b>KFX</b>    | Copenhagen Index (Danish stock market index)   |
| <b>MEXBOL</b> | Mexican Bolsa (Mexican stock market index)     |
| <b>OMX</b>    | Stockholm Index (Swedish stock market index)   |

| Abbreviation | Description                                                   |
|--------------|---------------------------------------------------------------|
| <b>SMI</b>   | Swiss Market Index                                            |
| <b>SPX</b>   | Standard & Poor's Index                                       |
| <b>TPX</b>   | Topix – Tokyo Stock Price Index (Japanese stock market index) |

# Methodology & frequently used abbreviations

Julius Baer Equity Research

## Definitions

|                    |                                                                                                    |
|--------------------|----------------------------------------------------------------------------------------------------|
| Conversion premium | Percentage amount of price paid for the convertible security exceeding its current straight price. |
| Delta              | Calculated ratio of price change if underlying changes by 1%.                                      |
| Nominal            | Nominal; minimum nominal investment size (in respective currency).                                 |
| Payment rank       | Rank with respect to payment of distributions for the security.                                    |